Executive Summary

Title: Customer Intelligence Report : D2C Fashion Brand

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Business Question

Is this brand successfully building a loyal customer base, or is it reliant on continuous promotional activity to drive revenue? If the latter, what should it do about it?

What We Found

The brand has a structural discount dependency problem. Of 3,900 customers analyzed, 1,700 (43%) are fully discount-dependent :they show zero purchase behavior without a promo trigger. Only 1,142 customers (29%) are organically loyal, defined as high repeat purchase history with low promo reliance. The remaining 28% are neutral.

Three findings stand out:

First, the brand's best customers don't need discounts. The top value segment (1,280 high-value customers, avg spend $87) shows the lowest promo dependency in the dataset. Discounts are not retaining these customers product and experience are.

Second, discount dependency is systemic, not regional. Geographic analysis across all US states shows no state with simultaneously high spend and low promo dependency. This rules out a regional explanation ,the problem is brand-wide.

Third, the brand's ideal customer already exists but is underrepresented. The 562 high-value, organically loyal customers (male skew, age 27–55, Outerwear and Footwear preference, avg spend $93, zero promo dependency) represent what the brand should be acquiring at scale. Currently they are only 14% of the customer base.

What We Recommend

Two actions, in order of priority:

1. Promotional Sunset :Discount-Dependent Mid-Value Segment Freeze promo offers for the 560 Mid-value, fully discount-dependent customers over a 6-month phased plan. Trigger: 2 consecutive full-price purchases. Track purchase rate (target: maintain >70%), avg revenue per customer (target: +15–20%), and promo cost savings monthly. Estimated margin improvement: $18–22K annually if successful. Acceptable churn risk: 20–30% of this segment.

2. Acquisition Retargeting toward Ideal Customer Profile Shift paid acquisition campaigns to target males aged 27–55 interested in Outerwear and Footwear, located in Virginia, Vermont, and Arizona the states with lowest promo dependency. Avoid discount-led acquisition in these categories entirely. Push subscription enrollment as default onboarding path.

What This Report Contains

- Python: Cleaned dataset with 7 engineered features including promo dependency score, value tier, satisfaction flag, and two competing loyalty definitions
- SQL: 5 segmentation queries answering all core business questions
- Power BI: Four-panel founder dashboard covering customer pyramid, promo dependency vs retention, geographic opportunity map, and category funnel
- Playbook: Promotional sunset plan and ideal customer profile

Bottom Line

The brand is not building loyalty : it is renting attention with discounts. The path forward is not to stop all promotions immediately, but to systematically identify which customers don't need them and stop offering them there first. The data to do this exists. The 562 ideal customers already in the base prove the brand can earn full-price loyalty. The question is whether the founding team will act on the evidence.